

Chapter-12

Definition of Leadership

Leadership is the ability to guide, influence, and inspire a group of people toward achieving a common goal. It involves setting a vision, making decisions, and motivating others to work together effectively.

Key Aspects of Leadership:

- ✓ **Influence** – A leader inspires and persuades others to take action.
- ✓ **Vision** – A leader has a clear direction and helps others see the bigger picture.
- ✓ **Decision-Making** – Leaders make tough choices and take responsibility for them.
- ✓ **Communication** – Effective leaders listen, speak, and connect with their teams.
- ✓ **Empowerment** – Great leaders encourage and develop the potential of their followers.

Situational Leadership Theory (SLT)

The **Situational Leadership Theory (SLT)** by Hersey and Blanchard says that **there is no single "best" leadership style**. Instead, the right leadership approach **depends on the readiness of the followers**—meaning how willing and capable they are to do a task.

How Does It Work?

A good leader **adapts their style** based on how experienced and motivated their team members are. SLT identifies **four leadership styles**, depending on the situation:

1. Telling/Directing 🗣️

- **When to use it?** When followers **lack skills but are eager** to do the task.
- **What does the leader do?** Gives **clear, step-by-step instructions** and closely supervises.
- **Example:** A new employee who needs detailed guidance to complete their work.

2. Selling/Coaching 🗣️👉

- **When to use it?** When followers **have some skills but lack confidence or motivation**.
- **What does the leader do?** Still gives instructions but also **motivates and supports** them.
- **Example:** An employee who understands the basics but feels overwhelmed by a big project.

3. Participating/Supporting 🤝

- **When to use it?** When followers **are skilled but not fully committed** (e.g., they feel unsure or reluctant).
- **What does the leader do?** Steps back from directing and **provides encouragement and emotional support**.

- **Example:** An experienced worker who hesitates to take on more responsibility.

4. Delegating ✓

- **When to use it?** When followers are **both skilled and motivated**.
- **What does the leader do?** Fully **trusts the follower** to complete the task without close supervision.
- **Example:** A senior employee who confidently handles tasks on their own.

Why Is SLT Important?

- It highlights that **leadership is not "one-size-fits-all"**—leaders need to **adjust their style** based on the team's ability and motivation.
- It helps leaders **build stronger, more capable teams** by **providing the right level of guidance and support**.

Criticism of SLT

While the theory **sounds logical and is widely used**, some researchers argue that:

- It **lacks strong scientific proof**.
- It **can be unclear** about how to measure "readiness."
- Some **leaders may struggle to switch styles effectively**.

Charismatic Leadership

Some leaders have a **special charm** that makes people **naturally drawn to them**. They have a **strong presence**, inspire confidence, and **motivate people** with their passion and vision. Examples of such leaders include **Martin Luther King Jr., Mahatma Gandhi, and Barack Obama**.

What is Charismatic Leadership?

Charismatic leadership is a style where followers see their leader as extraordinary, inspiring, and powerful. People believe these leaders have exceptional qualities, which makes them willing to follow them.

The sociologist **Max Weber** described charisma as a "**gift**"—a special quality that makes a person stand out from ordinary people and **gives them influence over others**.

Key Traits of Charismatic Leaders

Charismatic leaders often share these qualities:

1. **Vision and clear goals** – They have a big, inspiring idea for the future and explain it in a way that excites people.
2. **Personal risk-taking** – They are willing to **take big risks and make sacrifices** to achieve their vision.

3. **Understanding followers' needs** – They know what people need and care about their feelings.
4. **Unconventional behavior** – They **challenge norms and think differently** from others.

How Do Charismatic Leaders Influence Others?

- **They share a strong vision** – They connect the present to a better future and make people believe in it.
- **They communicate passionately** – Their energy and emotions **motivate people** to take action.
- **They build confidence in followers** – They encourage people to believe in themselves.
- **They set an example** – Their actions show commitment to their mission.
- **They use emotions effectively** – Their enthusiasm and charisma spread to others.

Example of a Charismatic Leader

 **Nick Woodman**, the founder of **GoPro**, is energetic, confident, and passionate about his company's vision. His charisma **inspires employees** to work toward GoPro's goal of helping people share their experiences through photos and videos.

When is Charismatic Leadership Most Effective?

Charismatic leadership is **especially powerful** in **times of crisis or uncertainty**. When people feel stressed or worried, they **seek strong leaders** who can provide hope and direction.

For example:

- **During wars or political struggles**, charismatic leaders can **unite people and inspire change**.
- **In business crises**, a charismatic CEO can **save a failing company by inspiring confidence** in employees and investors.
- **In new startups**, a visionary leader can **attract talent and investors** by making people believe in their idea.

The Dark Side of Charismatic Leadership

While charismatic leaders can **bring positive change**, they can also **be dangerous** if their power is misused.

⚠️ Potential problems with charismatic leadership:

- **Too much focus on the leader** – If the leader leaves, the organization may struggle.
- **Followers may overlook flaws** – People admire them so much that they **ignore their mistakes**.
- **Risk of manipulation** – Some charismatic leaders **use their charm for personal gain** instead of helping others.
- **Examples of bad charismatic leadership** – Some corporate leaders, like those at **Theranos and Nikola**, **lied about their companies** but convinced investors to trust them using their charisma.

The Full Range Leadership Model

The **Full Range Leadership Model** describes different leadership styles on a scale from least effective to most effective. It includes three main types of leadership:

1. **Laissez-faire leadership** (Passive & ineffective)
2. **Transactional leadership** (Structured & goal-focused)
3. **Transformational leadership** (Inspiring & effective)

The model shows how **leaders influence their teams**—from those who avoid responsibility to those who actively inspire change. Understanding these styles helps leaders **adapt** to different situations and **maximize team performance**.

1. Laissez-Faire Leadership (Least Effective) 🚫

- "Laissez-faire" means "let it be" – the leader avoids making decisions and takes no responsibility.
- **They do nothing** to guide, support, or develop their team.
- This leadership style leads to **poor team performance**, **low morale**, and **confusion** among employees.
- Employees under this type of leader often feel **unsupported** and may **lose motivation**.

 **Example:** A manager who never gives feedback, avoids conflicts, and lets employees figure everything out themselves.

🚩 **Bottom Line:** This approach usually **fails** because people need **guidance and direction** to perform well.

2. Transactional Leadership (Structured & Goal-Oriented) 🔄

Transactional leaders set clear rules and expectations and use **rewards and punishments** to keep people on track.

Types of Transactional Leadership:

- ✓ **Contingent Reward:** "Do a good job, and you get a reward."
- ✓ **Active Management by Exception:** "I'll step in when I see something wrong."
- ✗ **Passive Management by Exception:** "I'll only step in if things get really bad."

 **Example:** A supervisor who gives bonuses for good performance but punishes mistakes without guiding employees on how to improve.

🚩 **Bottom Line:** This style works well in **stable environments** but doesn't encourage **innovation** or personal growth.

Strength: Keeps teams **organized and efficient**

Weakness: Doesn't inspire people to go beyond basic expectations.



3. Transformational Leadership (Most Effective)

Transformational leaders **inspire and motivate** people to work toward a **bigger vision**. They **help employees grow, boost confidence, and focus on long-term success**.

Key Traits of Transformational Leaders (The 4 I's):

- 🔥 **Idealized Influence:** Leads by example and earns trust.
- 💡 **Inspirational Motivation:** Encourages people with a powerful vision.
- 🧠 **Intellectual Stimulation:** Challenges people to think creatively and solve problems.
- 🤝 **Individualized Consideration:** Gives personal attention and mentorship to each employee.

📊 **Example:** Abraham Lincoln inspired the U.S. during a time of crisis, setting a vision for unity and progress. Another example is a CEO who motivates employees with a strong company mission and encourages innovation.

📌 **Bottom Line:** Transformational leadership creates **motivated, creative, and engaged** teams that **go beyond expectations**.

Strength: Drives **long-term success** and **employee growth**.

Weakness: Requires **strong leadership skills**, and not every leader can sustain it.